

Falcon Distribution — Investment & Sales Offering Memorandum

Industrial · Indianapolis, IN · As of 2026-08-31 · Original fictional evaluation material

Executive Summary

Source-backed analysis. Assumptions remain subject to diligence.

Falcon Distribution is an 8-suite industrial asset totaling 176,060 SF in Indianapolis. Seven suites are physically occupied (154,060 SF) and one suite (008) is vacant on the manager's certified rent roll dated 2026-08-31. The manager's cover characterizes occupancy as 7 of 8 by including pending occupants that have not taken possession; the certified detail controls physical occupancy at 7 of 8 active only if suite 008 is treated as vacant. Certified detail governs.

Prescribed underwriting produces EGI of \$1,335,320, NOI (before reserves) of \$902,476 and NCF of \$900,076. Capitalized at 6.2500%, gross value indication is \$14,439,622. Sized on the 7.00% floor (greater of note rate 6.10% and floor 7.00%) at 30-year amortization with 1.25x DSCR / 9% NCF debt yield / 65% LTV, the DSCR test binds at approximately \$9,019,220. After 1% origination, \$45,000 of closing costs and a \$7,800,000 existing payoff, net cash-out to the sponsor is approximately \$1,084,027.

Photos, asking price, market sales and rent comparables, and sponsor history are not included in the packet and have not been inferred.

Property & Suite Mix

Manager group mapping (A/B/C) corresponds in order to Small suite, Standard suite, Large suite.

Group	Type	Units	Occupied	Area SF/unit
A	Small suite	3	3	21880
B	Standard suite	3	2	22000
C	Large suite	2	2	22210
Total		8	7	176060

Rent Roll & Occupancy (certified, 2026-08-31)

Suite 008 is the only vacant suite on the certified roll. Physical unit occupancy is $7/8 = 0.8750$; area occupancy is $154,060 / 176,060 = 0.8750$. The manager's headline of 7 of 8 improperly counts pending (unpossessed) occupants as leased.

Suite	Type	SF	Status	Monthly rent	Expiration
001	Small (A)	21880	active	\$14,450	2029-08-31
002	Standard (B)	22000	active	\$14,600	2029-08-31
003	Large (C)	22210	active	\$14,875	2029-08-31
004	Small (A)	21880	active	\$14,450	2029-08-31
005	Standard (B)	22000	active	\$14,600	2029-08-31
006	Large (C)	22210	active	\$14,875	2029-08-31
007	Small (A)	21880	active	\$14,450	2029-08-31
008	Standard (B)	22000	vacant	\$14,600	2029-08-31

Historical vs Underwritten Financials

Historical figures come from operating-statement.pdf T12 ending 2026-08-31. Historical NOI (\$869,736) reflects cash collections; underwritten NOI is a stabilized, definitionally different measure. NCF is NOI net of \$2,400 reserves (\$300 × 8 units).

Line	T12 Historical	Underwritten
Rental & ancillary (or GPI)	\$1,262,520	\$1,405,600 GPI
Economic loss (5%)	n/a (cash-basis)	(\$70,280)
EGI	\$1,262,520	\$1,335,320
Real estate tax	(\$147,294)	(\$147,294)
Insurance	(\$49,098)	(\$49,098)
Other recurring opex	(\$196,392)	(\$196,392)
Management fee (3% EGI)	n/a	(\$40,060)
NOI before reserves	\$869,736	\$902,476
Replacement reserves	n/a	(\$2,400)
NCF	n/a	\$900,076

Debt Sizing & Sources / Uses

Sizing rate is the greater of the 6.10% note rate and the 7.00% underwriting floor, so 7.00%; sized on a 30-year amortizing constant despite the first 24 months being interest-only. Constraints: 65% LTV of capitalized value (\$9,385,755), 1.25x DSCR on NCF (\$9,019,220), 9% NCF debt yield (\$10,000,849). DSCR binds.

Item	Amount
Loan proceeds (DSCR-bound)	\$9,019,220
Origination fee (1%)	(\$90,192)
Closing costs	(\$45,000)
Existing payoff	(\$7,800,000)
Net cash-out to sponsor	\$1,084,027

Risks & Missing Diligence

Present risks: (1) manager includes pending, unpossessed units in occupancy headline; (2) manager's historical ledger appears to be clean of capital-in-opex — the roof replacement is booked separately as capital, not in repairs, so the recurring-expense line does not embed a capital cost — this specific risk is therefore absent as reported.

Unresolved/absent risks: near-term rollover is absent because all leases expire 2029-08-31, beyond a 12-month horizon; unsigned rent change is absent because no unsigned rent proposal is included in the packet (lease-correspondence.pdf confirms no amendments affecting suite 001); temporary free rent is absent per lease-001.pdf; sizing floor binding is present because the 7.00% floor exceeds the 6.10% note rate; refinance shortfall is absent (net cash-out is positive \$1,084,027); missing insurance is absent — insurance.pdf provides GL policy declaration.

Missing diligence explicitly not supplied: photos, asking price, market sales/rent comps, sponsor history, legal/environmental/property-condition/title reports (routine pending).

Source Notes

rent-roll-certified.xlsx (controlling, 2026-08-31); rent-roll-archive.xlsx (stale, 2026-06-30, retained for reference only); lease-001.pdf; lease-correspondence.pdf (confirms no amendments affecting suite 001); insurance.pdf (GL aggregate \$2,000,000); operating-statement.pdf (T12 through 2026-08-31); underwriting-instructions.pdf; manager-cover.pdf; diligence-status.pdf.